Consumer Behaviour

Detailed Study Notes

Module 1

Introduction to Consumer Behaviour

Course Faculty

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Topics covered in this module

1. Introduction and Evolution of Consumer Behaviour
2. Understanding Consumers and Market Segments
3. Consumer Behaviour and Marketing Strategy
4. Psychographic Dimensions
5. Consumer Motivation
6. Perception
7. Personality
8. Information Processing
9. Attitude Formation and Attitude Change
10. Scope and Applications
11. Information Search Process
12. Evaluative Criteria and Decision Rules
13. Building Customer Satisfaction
14. 7 O's of Consumer Behaviour

Contents

1 Introduction to Consumer Behaviour **4**
1.1 Basic Terms . . . 4
1.2 Nature of Consumer Behaviour . . . 4
1.3 Importance of Studying Consumer Behaviour . . . 4

2 Evolution of Consumer Behaviour **5**
2.1 Stages of Marketing Thought . . . 5
2.2 Important Phases in the Study of Consumer Behaviour . . . 5

3 Understanding Consumers and Market Segments **6**
3.1 Why Understand Consumers? . . . 6
3.2 Steps: Segmentation, Targeting and Positioning (STP) . . . 6
3.3 Bases of Segmentation . . . 6
3.4 Requirements of Effective Segmentation . . . 6
3.5 Targeting Strategies . . . 7

4 Consumer Behaviour and Marketing Strategy **7**
4.1 Link with the 4 Ps . . . 7
4.2 Applications in Strategy . . . 7

5 Psychographic Dimensions **8**
5.1 Components of Psychographics . . . 8
5.2 AIO Dimensions (Activities, Interests, Opinions) . . . 8
5.3 VALS Framework . . . 8
5.4 Uses of Psychographics . . . 9

6 Consumer Motivation **9**
6.1 Motivation Process . . . 9
6.2 Types of Needs . . . 9
6.3 Types of Goals . . . 9
6.4 Motives . . . 9
6.5 Maslow's Hierarchy of Needs . . . 10
6.6 Other Theories of Motivation . . . 10
6.7 Motivational Conflict . . . 10

7 Perception **11**
7.1 Elements of Perception . . . 11

7.2 Perceptual Process . . . 11
7.3 Selective Perception . . . 11
7.4 Perceptual Organisation (Gestalt Principles) . . . 11
7.5 Perceptual Interpretation . . . 12
7.6 Consumer Imagery . . . 12

8 Personality **12**
8.1 Nature of Personality . . . 12
8.2 Theories of Personality . . . 12
8.3 Personality and Consumer Behaviour . . . 13
8.4 Brand Personality and Self-Concept . . . 13

9 Information Processing **13**
9.1 Stages of Information Processing . . . 13
9.2 Memory Structure . . . 14
9.3 Types of Long-Term Memory . . . 14
9.4 Learning . . . 14
9.5 Ways to Improve Retention . . . 14
9.6 Involvement . . . 14

10 Attitude Formation and Attitude Change **14**
10.1 Characteristics of Attitudes . . . 15
10.2 Functions of Attitudes (Katz) . . . 15
10.3 Components of Attitude: The Tricomponent Model . . . 15
10.4 Attitude Models . . . 15
10.5 Attitude Formation . . . 15
10.6 Attitude Change Strategies . . . 16
10.7 Cognitive Dissonance . . . 16
10.8 Factors in Persuasion . . . 16

11 Scope and Applications of Consumer Behaviour **16**
11.1 Scope . . . 16
11.2 Applications . . . 17

12 Information Search Process **17**
12.1 Consumer Decision Process (Overview) . . . 17
12.2 Need Recognition . . . 17
12.3 Types of Search . . . 17
12.4 Sources of Information . . . 17

12.5 Factors Affecting the Amount of Search 18
12.6 Search Process Outputs 18

13 Evaluative Criteria and Decision Rules 18
13.1 Evaluative Criteria 18
13.2 Decision Rules 19
13.2.1 A. Compensatory Rules 19
13.2.2 B. Non-Compensatory Rules 19
13.2.3 C. Simple Heuristics 19
13.3 Example of Weighted Additive Rule 19
13.4 Compensatory vs. Non-Compensatory Rules 20
13.5 Post-Evaluation: Purchase Decision 20

14 Building Customer Satisfaction 20
14.1 Expectation–Disconfirmation Model 20
14.2 Importance of Satisfaction 20
14.3 Factors Affecting Satisfaction 20
14.4 Strategies to Build Satisfaction 21
14.5 Post-Purchase Behaviour 21
14.6 Satisfaction vs. Loyalty 21

15 7 O's of Consumer Behaviour 22
15.1 Roles in Organisation (Buying Roles) 22
15.2 Example: Buying a Family Car 22

16 Quick Revision Summary 23

1 Introduction to Consumer Behaviour

1.1 Basic Terms

Consumer

A **consumer** is a person who buys or uses goods and services to satisfy personal or household needs and wants.

- **Customer**: the person who actually *buys* a product (regularly, from a particular shop or brand).
- **Consumer**: the person who *uses* the product. The customer and the consumer may be different people (a mother buys baby food, the baby consumes it).
- **Personal consumer**: buys for own use or for the family (shampoo, clothes).
- **Organisational consumer**: buys for a business, government body or institution (machines, office supplies).

Consumer Behaviour

Consumer behaviour is the study of the **processes** individuals, groups or organisations use to *select, buy, use and dispose of* products, services, ideas or experiences to satisfy their needs, and the **impact** these processes have on the consumer and on society.

Another simple way to say it: *consumer behaviour is the study of why people buy what they buy, when they buy, where they buy, how often they buy and how they feel after buying.*

1.2 Nature of Consumer Behaviour

- **Is a process, not a single act**: includes pre-purchase, purchase and post-purchase stages.
- **Influenced by many factors**: cultural, social, personal, psychological and situational.
- **Varies from person to person**: no two consumers behave in exactly the same way.
- **Varies over time**: the same person behaves differently at different life stages and in different situations.
- **Can be studied and partly predicted**: marketers use research to find patterns.
- **Interdisciplinary**: borrows from psychology, sociology, economics, anthropology and statistics.
- **Involves both mental and physical activity**: thinking, evaluating, visiting stores, paying, using.
- **Can be influenced**: through marketing activities such as advertising, pricing and promotion.

1.3 Importance of Studying Consumer Behaviour

1. **For marketers**: helps design products, set prices, choose channels and create promotions that match what buyers want.
2. **For segmentation and targeting**: identifies groups of similar consumers.
3. **For new product development**: finds unmet needs and gaps in the market.

4. **For forecasting demand**: understanding buying patterns helps predict sales.
5. **For building loyalty**: knowing what satisfies customers helps retain them.
6. **For consumers themselves**: makes them aware of their own buying habits and rights.
7. **For policy makers**: helps frame consumer protection laws.

2 Evolution of Consumer Behaviour

Consumer behaviour as a field of study developed alongside changes in how businesses looked at the market. The marketing orientation moved through several stages.

2.1 Stages of Marketing Thought

Era	Orientation	Key idea
Before 1920s	Production era	Demand was higher than supply. "If we make it, they will buy it." Focus on mass production and low cost.
1920s–1950s	Product / Sales era	Competition increased. Firms focused on quality, then on aggressive selling and persuasion to move stock.
1950s onwards	Marketing concept	Start with the customer. Find what consumers need, then produce it. "Make what you can sell."
1970s onwards	Consumer behaviour as a discipline	Marketers realise buyers are not always rational. Research from psychology and sociology is applied.
1990s onwards	Relationship / Societal marketing	Focus on long-term relationships, satisfaction, ethics and social welfare.
2000s onwards	Digital era	Internet, social media, e-commerce, mobile and data analytics change how consumers search, compare and buy.

2.2 Important Phases in the Study of Consumer Behaviour

1. **Economic view (rational man)**: early economists believed consumers always act logically to maximise satisfaction (utility) for a given income. This was found to be too simple.
2. **Psychological view**: motivation, perception, learning and attitudes were found to explain why people sometimes buy "irrationally".
3. **Sociological and cultural view**: family, reference groups, social class and culture were found to shape choices.
4. **Behavioural / decision-making view**: consumers are seen as problem solvers who pass through stages of a decision process.
5. **Experiential view**: buying also gives emotions, fun and fantasy, not just functional benefit.
6. **Modern / digital view**: online reviews, influencers, personalisation and big data now strongly shape behaviour.

Key Points

- The shift was from **product-centred** to **consumer-centred** thinking.
- Studying consumers moved from pure economics to a mix of many social sciences.

- Today the focus is on understanding the consumer *before, during and after* the purchase.

3 Understanding Consumers and Market Segments

3.1 Why Understand Consumers?

A firm cannot satisfy everyone with a single product. Consumers differ in income, tastes, age, lifestyle and attitudes. Understanding these differences allows the firm to divide the market into groups.

Market Segmentation

Market segmentation is the process of dividing a large, varied market into smaller groups (**segments**) of consumers who have similar needs, characteristics or behaviour, so that each group can be reached with a suitable marketing mix.

3.2 Steps: Segmentation, Targeting and Positioning (STP)

1. **Segmentation**: divide the market into meaningful groups.
2. **Targeting**: evaluate each segment and choose one or more to serve.
3. **Positioning**: create a clear image of the product in the minds of the chosen target group.

3.3 Bases of Segmentation

Basis	Variables	Example
Geographic	Country, state, city size, climate, urban/rural	Woollens in cold regions, mustard oil in eastern India
Demographic	Age, gender, income, occupation, education, family size, religion	Baby products for parents of infants, premium cars for high-income groups
Psychographic	Lifestyle, personality, values, interests	Fitness brands for health-conscious people
Behavioural	Usage rate, loyalty, benefits sought, occasion, user status	Gift packs for festivals, heavy-user discounts

3.4 Requirements of Effective Segmentation

- **Measurable**: size and buying power can be measured.
- **Accessible**: segment can be reached through media and channels.
- **Substantial**: large enough to be profitable.
- **Differentiable**: responds differently from other segments.
- **Actionable**: the firm can design programmes to attract and serve it.

3.5 Targeting Strategies

- **Undifferentiated (mass) marketing**: one offer for the whole market.
- **Differentiated marketing**: separate offers for several segments.
- **Concentrated (niche) marketing**: focus on one segment.
- **Micro / individual marketing**: tailor offers to individuals or local groups.

Exam Tip

Examiners often ask for the **bases of segmentation with examples**. Always give one Indian example per base.

4 Consumer Behaviour and Marketing Strategy

Marketing strategy is how a firm plans to reach its target market using the marketing mix. Consumer behaviour knowledge is the foundation of every element.

4.1 Link with the 4 Ps

Element	How consumer behaviour helps
Product	Shows what features, quality, design, packaging and brand name consumers value. Helps in new product development and in deciding the product line.
Price	Shows how price-sensitive consumers are, how they judge value, and whether price signals quality. Helps in discount and psychological pricing (e.g. Rs. 99 instead of Rs. 100).
Place	Shows where and how consumers prefer to shop (stores, online, wholesale). Helps in choosing distribution channels and store locations.
Promotion	Shows which media consumers use and which messages persuade them. Helps in advertising content, celebrity choice and sales promotion.

4.2 Applications in Strategy

1. **Analysing market opportunities**: finding unfulfilled needs, spotting trends.
2. **Selecting target markets**: segmentation by consumer characteristics.
3. **Positioning and differentiation**: building a unique image based on what consumers perceive as valuable.
4. **Marketing mix decisions**: as shown above.
5. **Social and ethical marketing**: understanding consumer rights and responsible marketing.
6. **Retaining customers**: using satisfaction and loyalty knowledge.

Key Points

Consumer behaviour tells the firm **who** to target, **what** to offer, **how** to price, **where** to sell and **how** to communicate.

5 Psychographic Dimensions

Psychographics

Psychographics is the study of consumers' **psychological characteristics**: their activities, interests, opinions, values, attitudes and lifestyles. It goes beyond age and income to explain *why* people buy.

Two people may have the same age and income but very different buying patterns. Psychographics explains this difference.

5.1 Components of Psychographics

- **Personality traits**: outgoing or shy, adventurous or cautious.
- **Lifestyle**: how a person spends time and money.
- **Values and beliefs**: tradition, environment, status, family.
- **Attitudes and opinions**: views on brands, advertising, society.
- **Interests and hobbies**: sports, travel, music, technology.

5.2 AIO Dimensions (Activities, Interests, Opinions)

Activities	Interests	Opinions	Demographics
Work, hobbies, social events, vacation, entertainment, shopping, sports	Family, home, job, community, recreation, fashion, food, media	Themselves, social issues, politics, business, economics, education, products, future	Age, education, income, occupation, family size, dwelling, geography, city size, stage in life cycle

5.3 VALS Framework

VALS (Values, Attitudes and Lifestyles) classifies consumers by **primary motivation** and **resources**. The main groups are:

- **Innovators**: successful, high self-esteem, take-charge people; early adopters of new products.
- **Thinkers**: motivated by ideals; mature, well-informed, value-seeking.
- **Believers**: motivated by ideals; conservative, loyal to familiar brands.
- **Achievers**: motivated by achievement; goal-oriented, favour prestige products.
- **Strivers**: motivated by achievement but with fewer resources; style-conscious.
- **Experiencers**: motivated by self-expression; young, enthusiastic, seek variety and excitement.
- **Makers**: motivated by self-expression; practical, value self-sufficiency.
- **Survivors**: limited resources; cautious, brand loyal, focus on needs.

5.4 Uses of Psychographics

- Better segmentation and targeting.
- Designing advertising appeals that match values and lifestyles.
- Positioning brands (e.g. "eco-friendly", "premium", "youthful").
- Product development based on lifestyle trends.

Limitation: difficult to measure, and relies on survey answers that may not be fully honest.

6 Consumer Motivation

Motivation

Motivation is the **driving force within individuals** that pushes them to take action to satisfy a need. It arises when a need is aroused and creates tension, which the person tries to reduce.

6.1 Motivation Process



6.2 Types of Needs

- **Biological (innate / primary) needs**: food, water, air, shelter, clothing.
- **Psychogenic (acquired / secondary) needs**: status, power, affiliation, achievement, self-esteem. Learned from culture and environment.

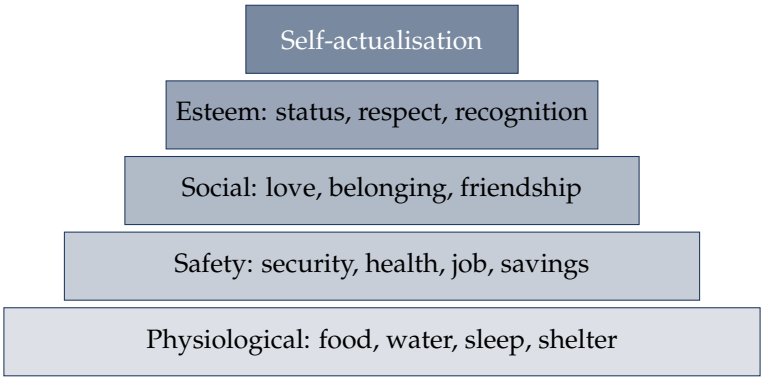
6.3 Types of Goals

- **Generic goals**: general category that satisfies a need ("a car").
- **Product-specific goals**: specific brand or item ("a Maruti car").
- **Positive (approach) goals**: things sought. **Negative (avoidance) goals**: things avoided.

6.4 Motives

- **Rational motives**: price, quality, durability, utility.
- **Emotional motives**: pride, fear, prestige, love, fashion, status.
- **Patronage motives**: reasons for choosing a particular shop (location, service, credit, variety).

6.5 Maslow's Hierarchy of Needs



Level	Meaning	Marketing example
Physiological	Basic survival	Food items, water, basic clothing
Safety	Security and stability	Insurance, locks, health products, banks
Social	Belonging and affection	Social media, greeting cards, gifts, clubs
Esteem	Prestige and recognition	Luxury cars, designer brands, jewellery
Self-actualisation	Fulfilling one's potential	Education, adventure, hobbies, creative tools

Features and criticism: lower needs must be satisfied first; a satisfied need no longer motivates; several needs may operate together. It is criticised for being hard to test and for being culture-biased, since priorities differ across societies.

6.6 Other Theories of Motivation

- **Herzberg's two-factor theory**: *hygiene factors* (their absence causes dissatisfaction) and *motivators* (their presence causes satisfaction). In marketing, basic product quality is hygiene; extra features delight.
- **McClelland's theory**: needs for achievement, power and affiliation.
- **Freud's psychoanalytic theory**: much behaviour is driven by unconscious motives (id, ego, superego). Basis of *motivational research*.

6.7 Motivational Conflict

- **Approach–approach**: choosing between two attractive options.
- **Approach–avoidance**: a product has both attractive and unattractive features (tasty but fattening).
- **Avoidance–avoidance**: choosing between two unattractive options (repair the old machine or buy a new one).

7 Perception

Perception

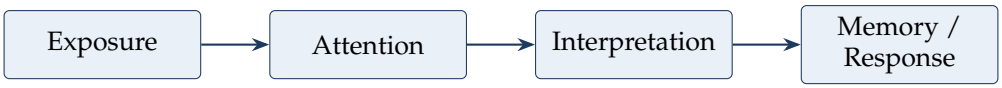
Perception is the process by which an individual **selects, organises and interprets** stimuli to form a meaningful picture of the world. Two people may see the same thing but perceive it differently.

7.1 Elements of Perception

- **Sensation**: immediate response of the senses (eyes, ears, nose, tongue, skin) to a stimulus.
- **Stimulus**: any unit of input (an ad, package, smell, price tag).
- **Absolute threshold**: the minimum level of a stimulus that can be detected.
- **Differential threshold (JND, just noticeable difference)**: the minimum change that can be noticed. **Weber's law**: the stronger the initial stimulus, the greater the change needed to notice it.
- **Subliminal perception**: stimuli below the level of conscious awareness. Evidence that it affects buying is weak.

Marketing use of JND: reduce pack size or raise price in small steps so it is not noticed; improve a product or change a logo enough to be noticed.

7.2 Perceptual Process



7.3 Selective Perception

1. **Selective exposure**: consumers choose which messages to be exposed to.
2. **Selective attention**: consumers notice only some stimuli. Attention is increased by size, colour, contrast, position, movement, novelty and relevance to needs.
3. **Selective distortion**: consumers twist information to fit their existing beliefs.
4. **Selective retention**: consumers remember only part of what they see or hear, mostly what supports their attitudes.

7.4 Perceptual Organisation (Gestalt Principles)

- **Figure and ground**: a stimulus stands out (figure) against a background.
- **Grouping**: items are seen as a unit (chunking phone numbers).
- **Closure**: the mind fills in missing parts to complete a picture.

7.5 Perceptual Interpretation

- **Stereotyping**, **halo effect** (one good trait colours the whole), **first impressions**, and **jumping to conclusions**.

7.6 Consumer Imagery

- **Product positioning and perceptual mapping**: how a brand is seen compared to competitors.
- **Price perception**: high price is often seen as high quality.
- **Quality perception**: judged by intrinsic cues (taste, ingredients) and extrinsic cues (brand, price, packaging, store).
- **Store image**, **manufacturer image** and **perceived risk** (functional, financial, social, psychological, time).

Exam Tip

Remember the three stages as **Select** → **Organise** → **Interpret**, and always list the four "selective" processes in a 5-mark answer.

8 Personality

Personality

Personality is the set of **inner psychological characteristics** that determine and reflect how a person responds to the environment. It is consistent and lasting, yet can change slowly.

8.1 Nature of Personality

- Reflects individual differences.
- Is consistent and enduring.
- Can change due to major life events (marriage, a new job, a bereavement).

8.2 Theories of Personality

1. **Freudian theory**: personality has three parts:
   - *Id*: pleasure-seeking, impulsive desires.
   - *Superego*: conscience, social and moral rules.
   - *Ego*: balances the id and superego.

   Consumer products are seen as symbols of hidden desires.
2. **Neo-Freudian theory**: social relationships are central. Horney grouped people as:
   - **Compliant**: move towards others; want love and acceptance.
   - **Aggressive**: move against others; want success and admiration.
   - **Detached**: move away from others; want independence.

3. **Trait theory**: personality is made of measurable traits (e.g. *consumer innovativeness*, *dogmatism*, *materialism*, *need for cognition*, *ethnocentrism*). The **Big Five**: Openness, Conscientiousness, Extraversion, Agreeableness, Neuroticism.

8.3 Personality and Consumer Behaviour

- **Consumer innovativeness**: willingness to try new products first.
- **Dogmatism**: tendency to resist the unfamiliar.
- **Social character**: inner-directed (rely on own values) vs. other-directed (rely on others' opinions).
- **Need for uniqueness** and **optimum stimulation level**.
- **Materialism** and **cosmopolitanism**.

8.4 Brand Personality and Self-Concept

- **Brand personality**: human traits attached to a brand (rugged, sophisticated, sincere, exciting, competent).
- **Self-concept**: the picture a person has of himself or herself. Consumers buy brands that match their *actual self* or *ideal self*.
- Types of self: actual self, ideal self, social self, ideal social self.

Limitation: personality is a weak predictor of specific brand choice, but it helps in broad segmentation.

9 Information Processing

Information Processing

Information processing is the way consumers **receive, store, organise, retrieve and use** information about products and brands to make decisions.

9.1 Stages of Information Processing



1. **Exposure**: coming into contact with the stimulus.
2. **Attention**: allocating mental effort to it. Depends on involvement and stimulus features.
3. **Comprehension**: understanding and interpreting the message.
4. **Acceptance (yielding)**: the message changes beliefs or attitudes.
5. **Retention**: storing the message in memory for later use.

9.2 Memory Structure

- **Sensory memory**: very brief storage (a second or less) of what the senses receive.
- **Short-term memory (working memory)**: small capacity (about 7 ± 2 chunks), lasts seconds. Information is lost unless *rehearsed*.
- **Long-term memory**: large and lasting storage. Information is moved there by *elaborative rehearsal*, linking it with existing knowledge.

9.3 Types of Long-Term Memory

- **Episodic**: specific events ("my first car").
- **Semantic**: general facts and meanings ("Amul stands for dairy").

9.4 Learning

Learning is a change in behaviour caused by experience.

- **Classical conditioning**: a neutral stimulus is paired with a stimulus that produces a response (a jingle paired with pleasant images; brand then creates a positive feeling).
- **Operant (instrumental) conditioning**: behaviour is shaped by rewards and punishments (a discount on first purchase encourages repeat buying).
- **Cognitive learning**: learning by thinking, problem solving and observing others (*observational / modelling*).

9.5 Ways to Improve Retention

- Repetition of message; use of simple and catchy jingles and slogans.
- Distinctive brand names, logos and colours.
- Linking the brand to existing knowledge (celebrity, story).
- Reducing clutter and keeping messages short.

9.6 Involvement

- **High involvement**: expensive, risky, personally important (car, laptop). Deep processing.
- **Low involvement**: cheap, routine (salt, soap). Shallow processing; consumers rely on habit.

10 Attitude Formation and Attitude Change

Attitude

An attitude is a **learned predisposition** to behave in a consistently favourable or unfavourable way towards a given object (a brand, store, ad, person or idea).

10.1 Characteristics of Attitudes

- Learned, not inborn.
- Have an *object* (what the attitude is about).
- Have *direction* (favourable or unfavourable), *intensity* (how strongly) and *stability*.
- Occur within a situation, so context matters.
- Tend to be consistent with behaviour, but not always.

10.2 Functions of Attitudes (Katz)

1. **Utilitarian**: we like things that bring rewards or help avoid punishment.
2. **Ego-defensive**: attitudes protect self-image from threats.
3. **Value-expressive**: attitudes show our central values and self-concept.
4. **Knowledge**: attitudes organise the world and reduce uncertainty.

10.3 Components of Attitude: The Tricomponent Model

Component	Meaning	Example
Cognitive	Beliefs and knowledge about the object	"This phone has a good camera."
Affective	Feelings and emotions	"I love this phone."
Conative	Intention or tendency to act	"I will buy this phone."

10.4 Attitude Models

- **Multiattribute model (Fishbein)**: attitude towards a brand is the sum of (belief about each attribute $\times$ importance of that attribute).
- **Theory of reasoned action**: behaviour is predicted by *behavioural intention*, which depends on attitude towards the act and subjective norms (what others think).
- **Attitude toward the ad model**: feelings about an advertisement influence feelings about the brand.

10.5 Attitude Formation

Attitudes are formed through:

1. **Personal experience** with the product or store.
2. **Family and friends**, especially in childhood.
3. **Direct marketing and mass media**: advertising, reviews, social media.
4. **Personality**: some people form attitudes more easily.
5. **Classical and operant conditioning**, and **cognitive learning**.

10.6 Attitude Change Strategies

1. **Changing the basic motivational function**: show a utilitarian product also expresses values (soap that also reflects status).
2. **Associating the product with a liked group or event**: sponsor sports or festivals.
3. **Resolving conflicting attitudes**: show that two disliked features do not clash.
4. **Altering components of the multiattribute model**:
   - Change beliefs about the brand's attributes.
   - Change the importance consumers give to attributes.
   - Add a new attribute.
   - Change beliefs about competitors' brands.
5. **Changing beliefs about competitors**: comparative advertising.

10.7 Cognitive Dissonance

Dissonance is the *tension felt after a decision* when the consumer doubts whether the right choice was made. Consumers reduce it by seeking supportive information, ignoring negative information, or returning the product. Firms reduce it with warranties, follow-up calls and reassuring ads.

10.8 Factors in Persuasion

- **Source**: credibility, expertise, attractiveness, trustworthiness.
- **Message**: one-sided or two-sided, emotional or rational appeals, fear appeals, humour.
- **Receiver**: involvement, existing attitude, personality.
- **Channel**: television, social media, word of mouth.

11 Scope and Applications of Consumer Behaviour

11.1 Scope

Consumer behaviour covers the whole consumption cycle:

1. **Pre-purchase**: need recognition, search, evaluation.
2. **Purchase**: choice, store selection, payment.
3. **Post-purchase**: use, satisfaction, complaints, repeat buying, disposal.

It also studies:

- **Individual determinants**: motivation, perception, learning, personality, attitudes.
- **Environmental influences**: culture, subculture, social class, reference groups, family, situation.
- **Types of consumers**: individuals and organisations.
- **Types of purchase**: routine, limited problem solving, extensive problem solving, impulse.

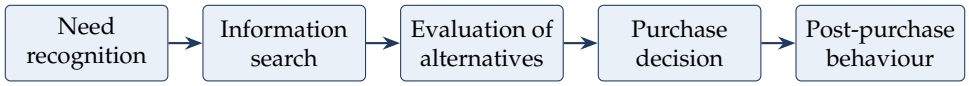
11.2 Applications

Area	Application
Marketing strategy	Segmentation, positioning, product, pricing, promotion and distribution decisions
Product development	Finding needs and gaps, testing concepts, designing packaging
Advertising	Choosing appeals, media, celebrity endorsers and slogans
Retailing	Store layout, displays, loyalty programmes, service
Public policy	Consumer protection, health warnings, anti-smoking campaigns
Non-profit and social marketing	Blood donation, family planning, road safety
Digital marketing	Personalisation, recommendation engines, influencer marketing
Customer relationship management	Loyalty, retention, handling complaints

12 Information Search Process

Once a need is recognised, the consumer looks for information to reduce risk and choose better.

12.1 Consumer Decision Process (Overview)



12.2 Need Recognition

A need arises when there is a gap between the *actual state* and the *desired state*. It can be triggered by internal stimuli (hunger), external stimuli (an ad, a friend's new phone), or a product failure.

12.3 Types of Search

- **Internal search**: recalling stored information, past experience and brand knowledge from memory.
- **External search**: collecting information from outside sources when internal information is not enough.

12.4 Sources of Information

Source	Examples	Notes
Personal	Family, friends, neighbours, colleagues	Highly trusted; word of mouth
Commercial	Advertising, salespeople, websites, packaging, displays	Most information, controlled by marketers
Public	Mass media, consumer reports, ratings, government bodies	Seen as unbiased
Experiential	Handling, examining, trial use	Strong but costly
Online	Reviews, social media, comparison sites, influencers	Fast growing today

12.5 Factors Affecting the Amount of Search

- **Product factors**: high price, high risk, high importance, many alternatives, large differences between brands → more search.
- **Consumer factors**: involvement, knowledge, experience, shopping enjoyment, age and education.
- **Situational factors**: time pressure, store distance, availability of information, perceived costs of searching.
- **Market factors**: number of stores, price variation, ease of access to information.

12.6 Search Process Outputs

- **Total set**: all brands in the market.
- **Awareness set**: brands the consumer knows.
- **Evoked set (consideration set)**: brands seriously considered.
- **Inept set**: brands rejected. **Inert set**: brands the consumer is indifferent to.

Key Points

A marketer's aim is to be **in the evoked set**. Brands outside it have almost no chance of being bought.

13 Evaluative Criteria and Decision Rules

13.1 Evaluative Criteria

Evaluative Criteria

Evaluative criteria are the **standards and specifications** a consumer uses to compare products and brands. They are usually attributes such as price, quality, brand, design or features.

- **Types**: *objective* (price, size, mileage) and *subjective* (style, image, taste).
- **Salient attributes**: those that come to mind first.
- **Determinant attributes**: those that actually decide the choice. For example, many cars are equally safe, so safety may be important but not determinant, while mileage or price may decide.
- Criteria are influenced by individual differences, culture, family, advertising and the situation.
- Marketers may influence criteria by *educating consumers* about new important attributes.

13.2 Decision Rules

Decision Rules

Decision rules are the **strategies consumers use to choose** among alternatives. They reduce the mental effort of decision making.

A. Compensatory Rules

A *poor score on one attribute can be made up by a good score on another*.

- **Simple additive rule**: choose the brand with the highest total number of positive attributes.
- **Weighted additive rule**: multiply each attribute rating by its importance weight, add them up and choose the highest total.

B. Non-Compensatory Rules

A *poor score on one attribute cannot be offset by another*.

- **Conjunctive rule**: set minimum cut-offs on all attributes; reject any brand that fails even one.
- **Disjunctive rule**: set an acceptable level on a few key attributes; accept any brand that meets it on at least one.
- **Lexicographic rule**: rank attributes by importance; pick the brand best on the most important attribute. Ties are broken using the next attribute.
- **Elimination-by-aspects**: take attributes in order of importance and eliminate brands that do not meet the cut-off on each, until one is left.

C. Simple Heuristics

- "Higher price means better quality."
- "Buy the brand my family uses."
- "Choose a well-known brand."
- **Affect referral**: choose the brand with the best overall feeling.

13.3 Example of Weighted Additive Rule

A student is choosing a smartphone. Importance weights: price 40%, camera 35%, battery 25%. Ratings out of 10:

Attribute (weight)	Phone A	Phone B	Phone C
Price (0.40)	8	6	7
Camera (0.35)	6	9	7
Battery (0.25)	7	6	8
Weighted score	$3.2 + 2.1 + 1.75 = \mathbf{7.05}$	$2.4 + 3.15 + 1.5 = \mathbf{7.05}$	$2.8 + 2.45 + 2.0 = \mathbf{7.25}$

Phone C has the highest weighted score, so the consumer chooses Phone C under this rule.

13.4 Compensatory vs. Non-Compensatory Rules

Basis	Compensatory	Non-compensatory
Trade-off	Weak points offset by strong points	No trade-off allowed
Mental effort	High	Low
Used when	High involvement, important purchases	Low involvement, time pressure, many options
Examples	Weighted additive	Conjunctive, lexicographic

13.5 Post-Evaluation: Purchase Decision

Two factors can come between intention and purchase: the **attitudes of others** (family, friends) and **unexpected situational factors** (job loss, stock-out, a better offer).

14 Building Customer Satisfaction

Customer Satisfaction

Customer satisfaction is the **feeling of pleasure or disappointment** that results from comparing a product's perceived performance with the customer's expectations.

14.1 Expectation–Disconfirmation Model

- If **performance** $<$ **expectation**: customer is *dissatisfied*.
- If **performance** $=$ **expectation**: customer is *satisfied*.
- If **performance** $>$ **expectation**: customer is *delighted*.

14.2 Importance of Satisfaction

- Satisfied customers **repeat purchase** and become **loyal**.
- They give positive **word of mouth**, which is cheap and powerful.
- Retaining a customer costs much less than attracting a new one.
- They are less price-sensitive and more open to other products from the brand.
- Dissatisfied customers complain, switch brands or spread negative word of mouth.

14.3 Factors Affecting Satisfaction

- **Product quality**: features, performance, reliability, durability.
- **Service quality**: staff behaviour, speed, responsiveness, empathy.
- **Price**: perceived fairness and value for money.
- **Situational and personal factors**: mood, past experience, expectations.
- **Fair treatment and communication**: honesty, handling of problems.

14.4 Strategies to Build Satisfaction

1. **Understand customer expectations** through research and feedback.
2. **Set realistic promises**: do not overpromise in advertising.
3. **Deliver consistent quality** in product and service.
4. **Train and empower employees** to solve problems quickly.
5. **Provide easy complaint handling**: helplines, returns, refunds, social media support. Quick recovery can make an unhappy customer loyal.
6. **Provide after-sales service**: warranties, installation, repair and follow-up.
7. **Reduce post-purchase dissonance**: thank-you notes, user guides, reassurance.
8. **Build relationships**: loyalty programmes, personalisation, membership benefits.
9. **Measure satisfaction regularly**: surveys, Net Promoter Score, complaints analysis, mystery shopping.

14.5 Post-Purchase Behaviour

- **Satisfied**: repeat purchase, loyalty, positive word of mouth.
- **Dissatisfied**: complaint to the firm, complaint to others, legal action, brand switching, negative word of mouth.
- **Product disposal**: throw away, recycle, resell, give away. Marketers must consider environmental concerns.

14.6 Satisfaction vs. Loyalty

A satisfied customer may still switch if a better offer appears. **Loyalty** is a deeper commitment to repurchase a preferred brand consistently. Firms aim to turn satisfaction into loyalty, and loyalty into advocacy.

15 7 O's of Consumer Behaviour

The 7 O's framework, developed from Philip Kotler's work, is a simple checklist to study consumer buying behaviour. Each "O" answers a basic question about the consumer.

The O	Question	What it means
Occupants	Who buys?	The consumers who make up the market: their age, gender, income, occupation, lifestyle and other characteristics.
Objects	What do they buy?	The products and services consumers want; the features, quality, brand, packaging and benefits they look for.
Objectives	Why do they buy?	The purpose and motives behind buying: needs, wants, benefits sought, emotional and rational reasons.
Organisation	Who participates in buying?	The people involved in the buying decision: initiator, influencer, decider, buyer and user. Includes family, friends and reference groups.
Operations	How do they buy?	The buying process and behaviour: steps followed, payment method, decision rules, cash or credit, online or in-store.
Occasions	When do they buy?	The time and situation of buying: festivals, seasons, weddings, weekends, salary days, emergencies.
Outlets	Where do they buy?	The places and channels: supermarkets, local shops, malls, wholesalers, e-commerce sites, mobile apps.

15.1 Roles in Organisation (Buying Roles)

- **Initiator**: first suggests the idea of buying.
- **Influencer**: gives advice that affects the decision.
- **Decider**: makes the final decision.
- **Buyer**: makes the actual purchase.
- **User**: consumes or uses the product.

15.2 Example: Buying a Family Car

- **Occupants**: a middle-income family with two children.
- **Objects**: a 5-seater hatchback with good mileage and safety.
- **Objectives**: comfortable family travel and status.
- **Organisation**: the child suggests (initiator), the neighbour advises (influencer), the parents decide, the father buys.
- **Operations**: online research, test drive, bank loan.
- **Occasions**: during the festive season for offers.
- **Outlets**: an authorised dealer showroom.

Exam Tip

Remember the 7 O's with the question words: **Who, What, Why, Who else, How, When, Where**.

16 Quick Revision Summary

Topic	One-line recall
Consumer behaviour	Study of how individuals select, buy, use and dispose of products to satisfy needs
Evolution	Production → Sales → Marketing concept → Relationship → Digital
Segmentation	Geographic, demographic, psychographic, behavioural; then target and position (STP)
Strategy link	Informs product, price, place and promotion
Psychographics	AIO and VALS: lifestyle, values, personality
Motivation	Need → tension → behaviour → goal; Maslow's five levels
Perception	Select, organise, interpret; four selective processes; JND
Personality	Freudian, neo-Freudian, trait theories; brand personality and self-concept
Information processing	Exposure, attention, comprehension, acceptance, retention; memory types
Attitudes	Cognitive, affective, conative; Fishbein model; change strategies
Scope and applications	Pre-purchase, purchase and post-purchase; marketing, policy, retail, digital
Information search	Internal and external; evoked set matters
Evaluation and rules	Compensatory and non-compensatory decision rules
Satisfaction	Performance versus expectation; leads to loyalty and word of mouth
7 O's	Occupants, Objects, Objectives, Organisation, Operations, Occasions, Outlets